Crypto Shocks[☆]

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Abstract

Can fluctuations in cryptocurrency prices *cause* movements in traditional financial asset prices? To investigate this question, we construct a new series of crypto shocks—exogenous changes in cryptocurrency prices that are unrelated to developments in the real economy or traditional financial markets. We identify these shocks using a combination of narrative and high-frequency approaches, measuring changes in Bitcoin prices within a two-hour window around 107 cryptocurrency market events between 2017 and 2024. We estimate the effects of these shocks on firm-level stock prices using both event study and local projection methods, exploiting variation across time and firms. To capture firms' exposure to cryptocurrency markets, we use text analysis of earnings call transcripts to construct a quarterly measure of crypto exposure for 1,234 publicly listed firms across more than 50 countries. Our results show that crypto shocks significantly affect the stock prices of firms exposed to cryptocurrency markets, with more exposed firms experiencing stronger reactions. In the post-2020 sample, we also find that these shocks can move the S&P 500. We explore the underlying mechanisms and find evidence of strong balance sheet effects.

Keywords: Event-Study, Narrative Identification, High-Frequency Identification, Crypto, Bitcoin, Asset Pricing, Text Analysis

JEL Codes: C32, E44, G12, G14, G15

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